

The Complete Financial Guide for Young Couples

getting out of debt is painful. The principle of getting out of debt is simple. Reverse the process by which you got into debt. If you got into debt by overspending, you get out of debt by underspending. Not only do you have to cut back to where you don't borrow anymore, you must cut back enough to retire debts, with interest, and that's pretty tough.

Jack and Penny were a young couple who had a ball getting into debt. Jack had accumulated nearly \$16,000 in school loans while in college. Penny had financed much of her college also, but primarily through teaching grants where each year she worked as a teacher, a portion of the money was forgiven. In about 10 years, she would be totally debt-free.

Jack's dad, a pastor, died a year before Jack's graduation, and his mom simply went into a shell for two years. Jack's last year was spent working a full-time job and going to school. His mom gave him her credit cards to use with virtually no guidelines except that he had to pay his own bills.

By graduation, Jack owed nearly \$4,000 on credit card bills for purchases including tires, clothes, and food. He knew vaguely what he owed, but felt it was "manageable." When he and Penny got married, Jack charged their honeymoon, a stereo, furniture, TV, even the utility hookups for their apartment.

Jack's plan had always been to work a couple of years to pay off his debts, then go on to seminary—a noble ambition, but one that turned out to be very unrealistic. About two months into their marriage, Penny began to notice the volume of bills they received each month. Coming from a missionary family, she had never seen how nasty creditors can get, because her parents never borrowed money.

She asked Jack about the bills and late notices. He said it had to be some mistake, because he knew there was no way they could owe all that money. He began to pay minimum amounts on the most urgent bills. But basic budget needs, such as rent, an automobile lease, and utilities left little to pay on the debts.

Reality struck home when, at home one day, Penny had to